to push the second half harder." Government capital expenditure—the funds spent by the central and state governments on assets like new equipment, machinery, land, plant buildings and warehouses—has been a key driver of India's growth in recent years. Finance minister Nirmala Sitharaman set aside over Rs 11 lakh crore, or around 3.4 per cent of the GDP, toward capex in this year's budget.

Another cause for concern is the slowdown in consumption, particularly in urban areas. High prices of goods and stagnant wages and salaries have led to a decline in urban consumption, which has been a major contributor to growth for years. India's consumer price inflation surged to a 14-month high of 6.2 per cent in October, surpassing the upper limit of the RBI's target range of 2-6 per cent, largely due to high food inflation. Within this, food and beverages inflation reached 9.7 per cent (up from 8.4 per cent in September), with vegetable inflation alone rising over 42.2 per cent, a 57-month high. High food prices were the result of an erratic monsoon, which led to drought in some areas and flooding in others, damaging crops and vegetable cultivation. Increased spending on food leaves consumers with less to spend on other goods, which in turn affects overall consumption.

Slowing urban spending over the past 3-4 months has not only hurt the earnings of the largest consumer goods firms, it has raised questions about the structural nature of India's long-term economic success, says a Reuters report. Since the end of the pandemic, India's economic growth has largely been driven by urban consumption; however, that now seems to be changing. In addition to high inflation, unemployment and underemployment in some cases have left the middle class with little disposable income. "The urban consumer faced a double whammy," says Joshi. On the one hand, high inflation ate into discretionary spending for lower-income groups, while on the other, higher interest rates, which have a bigger footprint in the urban areas, curtailed spending on homes and consumer durables.

Given that growth has slowed down substantially, one would have expected the RBI to slash interest rates (from 6.5 per cent at present) that would make borrowing cheaper for industrial and retail consumers. However, with inflation still high, the RBI finds itself caught in a bind when it comes to lowering interest rates. The Centre obviously wants the central bank to slash rates, as articulated by both Sitharaman and commerce minister Piyush Goyal in recent weeks. Experts do not expect the RBI to cut rates in December; however, the central bank may do so in February 2025 if inflation eases in November, as is anticipated. The RBI has a target range of 4-6 per cent for inflation, and would prefer to maintain it at the lower end of the range.

WHY GDP FELL IN Q2

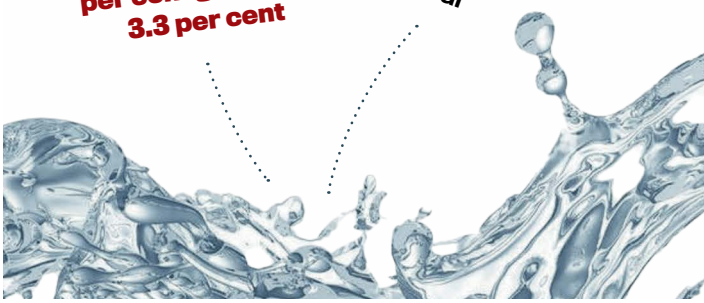


Manufacturing growth slowed significantly, dropping from 14.3 per cent in Q2 FY24 to just **2.2 per cent in Q2 FY25**



Mining and quarrying fell from a growth rate of 1.1 per cent to a degrowth of -0.1 per cent, while electricity, gas and other utility services **slowed from 10.5 per cent growth to 3.3 per cent**

The government's expenditure on capital goods slowed. **Only 37 per cent** of the total budgeted amount was invested in the first six months of the fiscal





"The government's capital spending has been little slower in the second quarter. Only 37 per cent of the total budgeted amount for investment was spent in the first six months"

DHARMAKIRTI JOSHI *Chief Economist, Crisil*